

SOLVED PRACTICE WORKBOOK

National Income: GDP, GVA, GNP, NDP and Measurement - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

National Income: GDP, GVA, GNP, NDP and Measurement	
REFRESHED TEACHING NAVIGATION — BASIC/CORE FIRST	
01 FOUNDATION — DOMESTIC PRODUCTION AND RESIDENT INCOME GDP at market prices can be read from final expenditure as $C + I + G$	02 FOUNDATION — FINAL EXPENDITURE IDENTITY GDP at market prices equals GVA at basic prices plus product taxes
03 FOUNDATION — PRODUCER VALUE ADDED AND PURCHASER PRICES Main: Use one named Indian revision, one method limitation and	04 CORE — GROSS OUTPUT AND DEPRECIATION Mechanism chain: Three measurement methods Qualified use: Open
05 CORE — THREE ROUTES TO THE SAME AGGREGATE Technically, CORE — Three routes to the same aggregate is analysed	06 CORE — VALUE ADDED, INCOME COVERAGE AND INFORMALITY The income method adds wages, profits, rent and mixed income, but
07 CORE — FINAL EXPENDITURE AND INTERMEDIATE EXCLUSION Mechanism chain: Nominal-real-deflator triangle Qualified use: Open	08 CORE — NOMINAL OUTPUT, REAL OUTPUT AND THE DEFLATOR Current final goods and services, applicable imputations and
09 CORE — INSIDE THE PRODUCTION BOUNDARY Mechanism chain: Transfer and resale exclusions Qualified use: Use	10 CORE — TRANSFERS, REALES AND CURRENT SERVICES Mechanism chain: Unpaid work and welfare limit Qualified use: Open
11 CORE — UNPAID WORK, WELFARE AND THE 2015 REVISION India's 2015 revision shifted the national-accounts base to 2011-12	12 CORE — THE 2022-23-BASE NATIONAL-ACCOUNTS SERIES Mechanism chain: Potential GDP and output gap Qualified use: Use
13 CORE SYNTHESIS — POTENTIAL GDP AND THE OUTPUT GAP Mechanism chain: ICOR and investment efficiency Qualified use:	14 CORE SYNTHESIS — ICOR, PPP AND CAPITAL PRODUCTIVITY Research and development, software and databases, mineral
15 CORE SYNTHESIS — INTANGIBLES, SECTOR CLASSIFICATION AND ESTIMATE VINTAGE Limitation: ICOR is an aggregate diagnostic and does not identify the	

Original deterministic study visual; labels are explanatory, not textual quotations.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

National Income: GDP, GVA, GNP, NDP and Measurement - Solved Practice Workbook 5

BASIC MCQS / REMEDIATION 5

Q1. Which statement correctly identifies Territory-residence boundary?	5
Q2. Which option preserves the accounting or regulatory boundary of Territory-residence boundary?	5
Q3. Which statement uses Territory-residence boundary without losing its vintage, basket or legal status?	5
Q4. Which option avoids the standard UPSC close-option trap about Territory-residence boundary?	6
Q5. Which statement correctly identifies GDP expenditure identity?	6
Q6. Which option preserves the accounting or regulatory boundary of GDP expenditure identity?	6
Q7. Which statement uses GDP expenditure identity without losing its vintage, basket or legal status?	6
Q8. Which option avoids the standard UPSC close-option trap about GDP expenditure identity?	7
Q9. Which statement correctly identifies GDP-GVA reconciliation?	7
Q10. Which option preserves the accounting or regulatory boundary of GDP-GVA reconciliation?	7
Q11. Which statement uses GDP-GVA reconciliation without losing its vintage, basket or legal status?	7
Q12. Which option avoids the standard UPSC close-option trap about GDP-GVA reconciliation?	8
Q13. Which statement correctly identifies Gross-net distinction?	8
Q14. Which option preserves the accounting or regulatory boundary of Gross-net distinction?	8
Q15. Which statement uses Gross-net distinction without losing its vintage, basket or legal status?	8
Q16. Which option avoids the standard UPSC close-option trap about Gross-net distinction?	9
Q17. Which statement correctly identifies Three measurement methods?	9
Q18. Which option preserves the accounting or regulatory boundary of Three measurement methods?	9
Q19. Which statement uses Three measurement methods without losing its vintage, basket or legal status?	9
Q20. Which option avoids the standard UPSC close-option trap about Three measurement methods?	10
Q21. Which statement correctly identifies Double-counting boundary?	10
Q22. Which option preserves the accounting or regulatory boundary of Double-counting boundary?	10
Q23. Which statement uses Double-counting boundary without losing its vintage, basket or legal status?	10
Q24. Which option avoids the standard UPSC close-option trap about Double-counting boundary?	11
Q25. Which statement correctly identifies Income-side coverage?	11
Q26. Which option preserves the accounting or regulatory boundary of Income-side coverage?	11
Q27. Which statement uses Income-side coverage without losing its vintage, basket or legal status?	11

Q28. Which option avoids the standard UPSC close-option trap about Income-side coverage?	12
Q29. Which statement correctly identifies Expenditure-side boundary?	12
Q30. Which option preserves the accounting or regulatory boundary of Expenditure-side boundary?	12
Q31. Which statement uses Expenditure-side boundary without losing its vintage, basket or legal status?	12
Q32. Which option avoids the standard UPSC close-option trap about Expenditure-side boundary?	13
Q33. Which statement correctly identifies Nominal-real-deflator triangle?	13
Q34. Which option preserves the accounting or regulatory boundary of Nominal-real-deflator triangle?	13
Q35. Which statement uses Nominal-real-deflator triangle without losing its vintage, basket or legal status?	13
Q36. Which option avoids the standard UPSC close-option trap about Nominal-real-deflator triangle?	14
Q37. Which statement correctly identifies Production boundary?	14
Q38. Which option preserves the accounting or regulatory boundary of Production boundary?	14
Q39. Which statement uses Production boundary without losing its vintage, basket or legal status?	14
Q40. Which option avoids the standard UPSC close-option trap about Production boundary?	15
Q41. Which statement correctly identifies Transfer and resale exclusions?	15
Q42. Which option preserves the accounting or regulatory boundary of Transfer and resale exclusions?	15
Q43. Which statement uses Transfer and resale exclusions without losing its vintage, basket or legal status?	15
Q44. Which option avoids the standard UPSC close-option trap about Transfer and resale exclusions?	16
Q45. Which statement correctly identifies Unpaid work and welfare limit?	16
Q46. Which option preserves the accounting or regulatory boundary of Unpaid work and welfare limit?	16
Q47. Which statement uses Unpaid work and welfare limit without losing its vintage, basket or legal status?	16
Q48. Which option avoids the standard UPSC close-option trap about Unpaid work and welfare limit?	17
Q49. Which statement correctly identifies 2015 national-accounts revision?	17
Q50. Which option preserves the accounting or regulatory boundary of 2015 national-accounts revision?	17
Q51. Which statement uses 2015 national-accounts revision without losing its vintage, basket or legal status?	17
Q52. Which option avoids the standard UPSC close-option trap about 2015 national-accounts revision?	18
Q53. Which statement correctly identifies 2026 series revision?	18
Q54. Which option preserves the accounting or regulatory boundary of 2026 series revision?	18
Q55. Which statement uses 2026 series revision without losing its vintage, basket or legal status?	19
Q56. Which option avoids the standard UPSC close-option trap about 2026 series revision?	19
Q57. Which statement correctly identifies Potential GDP and output gap?	19
Q58. Which option preserves the accounting or regulatory boundary of Potential GDP and output gap?	19
Q59. Which statement uses Potential GDP and output gap without losing its vintage, basket or legal status?	20

Q60. Which option avoids the standard UPSC close-option trap about Potential GDP and output gap?	20
Q61. Which statement correctly identifies ICOR and investment efficiency?	20
Q62. Which option preserves the accounting or regulatory boundary of ICOR and investment efficiency?	21
Q63. Which statement uses ICOR and investment efficiency without losing its vintage, basket or legal status?	21
Q64. Which option avoids the standard UPSC close-option trap about ICOR and investment efficiency?	21
Q65. Which statement correctly identifies PPP versus market exchange rate?	22
Q66. Which option preserves the accounting or regulatory boundary of PPP versus market exchange rate?	22
Q67. Which statement uses PPP versus market exchange rate without losing its vintage, basket or legal status?	22
Q68. Which option avoids the standard UPSC close-option trap about PPP versus market exchange rate?	23
Q69. Which statement correctly identifies Intangible capital formation?	23
Q70. Which option preserves the accounting or regulatory boundary of Intangible capital formation?	23
Q71. Which statement uses Intangible capital formation without losing its vintage, basket or legal status?	23
Q72. Which option avoids the standard UPSC close-option trap about Intangible capital formation?	24
Q73. Which statement correctly identifies Sector and capital classification?	24
Q74. Which option preserves the accounting or regulatory boundary of Sector and capital classification?	24
Q75. Which statement uses Sector and capital classification without losing its vintage, basket or legal status?	25
Q76. Which option avoids the standard UPSC close-option trap about Sector and capital classification?	25
Q77. Which statement correctly identifies Estimate-vintage discipline?	25
Q78. Which option preserves the accounting or regulatory boundary of Estimate-vintage discipline?	25
Q79. Which statement uses Estimate-vintage discipline without losing its vintage, basket or legal status?	26
Q80. Which option avoids the standard UPSC close-option trap about Estimate-vintage discipline?	26

PYQS AND ANSWER PRACTICE 26

VERIFIED PYQ OWNERSHIP AUDIT	26
OWNER PYQ LEDGER EXTRACTS	26
PYQ DEMAND CARD 1 - 2020 GS-III	28
PYQ DEMAND CARD 2 - 2021 GS-III	30
ORIGINAL MAINS 1 - 10 MARKS	31
ORIGINAL MAINS 2 - 10 MARKS	33
ORIGINAL MAINS 3 - 15 MARKS	35
ORIGINAL MAINS 4 - 15 MARKS	38
ORIGINAL MAINS 5 - 20 MARKS	40
ORIGINAL MAINS 6 - 20 MARKS	44

National Income: GDP, GVA, GNP, NDP and Measurement - Solved Practice Workbook

BASIC MCQS / REMEDIATION

Q1. Which statement correctly identifies Territory-residence boundary?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: A. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q2. Which option preserves the accounting or regulatory boundary of Territory-residence boundary?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: B. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q3. Which statement uses Territory-residence boundary without losing its vintage, basket or legal status?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: C. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q4. Which option avoids the standard UPSC close-option trap about Territory-residence boundary?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: D. Explanation: GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q5. Which statement correctly identifies GDP expenditure identity?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: A. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q6. Which option preserves the accounting or regulatory boundary of GDP expenditure identity?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: B. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q7. Which statement uses GDP expenditure identity without losing its vintage, basket or legal status?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: C. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q8. Which option avoids the standard UPSC close-option trap about GDP expenditure identity?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: D. Explanation: GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q9. Which statement correctly identifies GDP-GVA reconciliation?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: A. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q10. Which option preserves the accounting or regulatory boundary of GDP-GVA reconciliation?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: B. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q11. Which statement uses GDP-GVA reconciliation without losing its vintage, basket or legal status?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: C. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q12. Which option avoids the standard UPSC close-option trap about GDP-GVA reconciliation?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: D. Explanation: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q13. Which statement correctly identifies Gross-net distinction?

A. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: A. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q14. Which option preserves the accounting or regulatory boundary of Gross-net distinction?

A. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

Answer: B. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q15. Which statement uses Gross-net distinction without losing its vintage, basket or legal status?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: C. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q16. Which option avoids the standard UPSC close-option trap about Gross-net distinction?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Answer: D. Explanation: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q17. Which statement correctly identifies Three measurement methods?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: A. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q18. Which option preserves the accounting or regulatory boundary of Three measurement methods?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: B. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q19. Which statement uses Three measurement methods without losing its vintage, basket or legal status?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: C. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q20. Which option avoids the standard UPSC close-option trap about Three measurement methods?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.

Answer: D. Explanation: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q21. Which statement correctly identifies Double-counting boundary?

A. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: A. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q22. Which option preserves the accounting or regulatory boundary of Double-counting boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: B. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q23. Which statement uses Double-counting boundary without losing its vintage, basket or legal status?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: C. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q24. Which option avoids the standard UPSC close-option trap about Double-counting boundary?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.

Answer: D. Explanation: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q25. Which statement correctly identifies Income-side coverage?

A. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: A. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q26. Which option preserves the accounting or regulatory boundary of Income-side coverage?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: B. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q27. Which statement uses Income-side coverage without losing its vintage, basket or legal status?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: C. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments,

institutions or legal perimeters.

Q28. Which option avoids the standard UPSC close-option trap about Income-side coverage?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

Answer: D. Explanation: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q29. Which statement correctly identifies Expenditure-side boundary?

A. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: A. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q30. Which option preserves the accounting or regulatory boundary of Expenditure-side boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q31. Which statement uses Expenditure-side boundary without losing its vintage, basket or legal status?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: C. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q32. Which option avoids the standard UPSC close-option trap about Expenditure-side boundary?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Answer: D. Explanation: The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q33. Which statement correctly identifies Nominal-real-deflator triangle?

A. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: A. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q34. Which option preserves the accounting or regulatory boundary of Nominal-real-deflator triangle?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q35. Which statement uses Nominal-real-deflator triangle without losing its vintage, basket or legal status?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: C. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q36. Which option avoids the standard UPSC close-option trap about Nominal-real-deflator triangle?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.

Answer: D. Explanation: Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q37. Which statement correctly identifies Production boundary?

A. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: A. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q38. Which option preserves the accounting or regulatory boundary of Production boundary?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: B. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q39. Which statement uses Production boundary without losing its vintage, basket or legal status?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: C. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q40. Which option avoids the standard UPSC close-option trap about Production boundary?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not.

Answer: D. Explanation: Current final goods and services, applicable imputations and government services valued mainly by production cost enter GDP; intermediate goods already embodied in final output do not. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q41. Which statement correctly identifies Transfer and resale exclusions?

A. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q42. Which option preserves the accounting or regulatory boundary of Transfer and resale exclusions?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: B. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q43. Which statement uses Transfer and resale exclusions without losing its vintage, basket or legal status?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: C. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q44. Which option avoids the standard UPSC close-option trap about Transfer and resale exclusions?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value.

Answer: D. Explanation: Pure transfer payments and resale of an existing asset do not add current production, although the current brokerage or service associated with a resale can add value. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q45. Which statement correctly identifies Unpaid work and welfare limit?

A. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q46. Which option preserves the accounting or regulatory boundary of Unpaid work and welfare limit?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: B. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q47. Which statement uses Unpaid work and welfare limit without losing its vintage, basket or legal status?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q48. Which option avoids the standard UPSC close-option trap about Unpaid work and welfare limit?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.

Answer: D. Explanation: Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q49. Which statement correctly identifies 2015 national-accounts revision?

A. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: A. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q50. Which option preserves the accounting or regulatory boundary of 2015 national-accounts revision?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: B. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q51. Which statement uses 2015 national-accounts revision without losing its vintage, basket or legal status?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade,

debt and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q52. Which option avoids the standard UPSC close-option trap about 2015 national-accounts revision?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.

Answer: D. Explanation: India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q53. Which statement correctly identifies 2026 series revision?

A. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: A. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q54. Which option preserves the accounting or regulatory boundary of 2026 series revision?

A. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. B. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: B. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q55. Which statement uses 2026 series revision without losing its vintage, basket or legal status?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. C. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: C. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q56. Which option avoids the standard UPSC close-option trap about 2026 series revision?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.

Answer: D. Explanation: MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q57. Which statement correctly identifies Potential GDP and output gap?

A. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: A. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q58. Which option preserves the accounting or regulatory boundary of Potential GDP and output gap?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size

comparison; ranks are reference-year specific.

Answer: B. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q59. Which statement uses Potential GDP and output gap without losing its vintage, basket or legal status?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: C. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q60. Which option avoids the standard UPSC close-option trap about Potential GDP and output gap?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.

Answer: D. Explanation: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q61. Which statement correctly identifies ICOR and investment efficiency?

A. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: A. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q62. Which option preserves the accounting or regulatory boundary of ICOR and investment efficiency?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: B. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q63. Which statement uses ICOR and investment efficiency without losing its vintage, basket or legal status?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: C. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q64. Which option avoids the standard UPSC close-option trap about ICOR and investment efficiency?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.

Answer: D. Explanation: The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q65. Which statement correctly identifies PPP versus market exchange rate?

A. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: A. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q66. Which option preserves the accounting or regulatory boundary of PPP versus market exchange rate?

A. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. B. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: B. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q67. Which statement uses PPP versus market exchange rate without losing its vintage, basket or legal status?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: C. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q68. Which option avoids the standard UPSC close-option trap about PPP versus market exchange rate?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. D. Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.

Answer: D. Explanation: Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q69. Which statement correctly identifies Intangible capital formation?

A. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. B. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: A. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q70. Which option preserves the accounting or regulatory boundary of Intangible capital formation?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: B. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q71. Which statement uses Intangible capital formation without losing its vintage, basket or legal status?

A. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: C. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q72. Which option avoids the standard UPSC close-option trap about Intangible capital formation?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.

Answer: D. Explanation: Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q73. Which statement correctly identifies Sector and capital classification?

A. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: A. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q74. Which option preserves the accounting or regulatory boundary of Sector and capital classification?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. C. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: B. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q75. Which statement uses Sector and capital classification without losing its vintage, basket or legal status?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. D. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production.

Answer: C. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q76. Which option avoids the standard UPSC close-option trap about Sector and capital classification?

A. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. B. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.

Answer: D. Explanation: Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q77. Which statement correctly identifies Estimate-vintage discipline?

A. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. B. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. C. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. D. GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.

Answer: A. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q78. Which option preserves the accounting or regulatory boundary of Estimate-vintage discipline?

A. GDP at market prices can be read from final expenditure as $C + I + G + (X - M)$; imports are subtracted because consumption and investment totals can contain foreign production. B. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. C. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: B. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series

estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q79. Which statement uses Estimate-vintage discipline without losing its vintage, basket or legal status?

A. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. B. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. C. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. D. GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.

Answer: C. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

Q80. Which option avoids the standard UPSC close-option trap about Estimate-vintage discipline?

A. Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. B. The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. C. Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. D. A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Answer: D. Explanation: A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The other options belong to different measures, vintages, baskets, instruments, institutions or legal perimeters.

PYQS AND ANSWER PRACTICE

VERIFIED PYQ OWNERSHIP AUDIT

Audited Economy ledgers route 2020 GS-III on potential GDP and output gap and 2021 GS-III on the pre/post-2015 GDP methodology change to this Basic owner. Objective routes on ICOR, PPP, sector classification, physical capital and intangible investment are retained as concepts without inventing answer letters.

OWNER PYQ LEDGER EXTRACTS

10. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited

2024-2026 Economy corpus; use the distinctions above for adjacent sector, growth and deficit questions. See the exact routing table in . . /README . md.

Recent PYQ Integration (2024-2025)

Status: 2024-2025 question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-PRELIMS-2024-2025 . md. **Answer-key rule:** The official 2024-2025 Prelims Set-A keys are present in the repository and CSAT Set-A keys are supplied; even so, no option or answer is recorded or inferred in this integration.

- **Years represented:** 2024

- **Paper(s):** Prelims GS-I
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2024	Prelims GS-I	45	Economic activity-to-sector matching (primary/secondary/tertiary)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.
2024	Prelims GS-I	47	Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)	Objective question; official Set-A key available locally, answer not inferred	Key available locally (official Set-A answer key present); answer not recorded here	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- Economic activity-to-sector matching (primary/secondary/tertiary)
- Physical-capital pairs - working versus fixed capital (plough, computer, yarn, petrol)

This block integrates the 2024-2025 examinable demand and paper metadata. It is kept separate from the 2018-2023 block and does not convert an unkeyed/answer-free objective question into a solved answer.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023.md, _PYQ-ROUTING-PRELIMS-2018-2023.md.

Answer-key rule: The official 2018-2023 Prelims/CSAT keys are not held locally; no option or answer has been inferred.

- **Years represented:** 2018, 2019, 2020, 2021, 2022, 2023
- **Paper(s):** GS-III, Prelims GS-I
- **Routed question demands:** 6

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2018	Prelims GS-I	50	High saving economy low output and capital-output ratio	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2019	Prelims GS-I	82	Purchasing Power Parity and India world economy size	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2022	Prelims GS-I	7	Real sector economic activities in Indian economy	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.
2023	Prelims GS-I	28	Intangible investments classification in economic accounting	Objective question; official key unavailable locally	Routed; key unavailable locally	Cover the named fact/concept and its likely statement-level distinctions.

What this owner must now support

- High saving economy low output and capital-output ratio
- Purchasing Power Parity and India world economy size
- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015
- Real sector economic activities in Indian economy
- Intangible investments classification in economic accounting

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

12. PYQ status

- ANALYSIS: No direct national-income-measurement question appears in the audited 2024-2026 Economy corpus; see the exact route audit in . . /README . md.

Historical PYQ Integration (2018-2023)

Status: Question-level PYQ demand is integrated into this owner. **Provenance:** Audited local official-paper routing ledgers: _PYQ-ROUTING-MAINS-GS3-GS4-2018-2023 . md.

- **Years represented:** 2020, 2021
- **Paper(s):** GS-III
- **Routed question demands:** 2

Year	Paper	Q	PYQ demand (neutral rendering)	Directive / format	Source status	Owner requirement
2020	GS-III	2	Potential GDP definition determinants and India's output gap	Define · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.
2021	GS-III	1	GDP computation methodology change in India before and after 2015	Explain · 10 marks · 150 words	Routed to owning topic	Prepare context, core dimensions, evidence/examples, counterpoint and a concise conclusion.

What this owner must now support

- Potential GDP definition determinants and India's output gap
- GDP computation methodology change in India before and after 2015

The table integrates the examinable demand and paper metadata. It does not turn an unkeyed objective question into a solved answer, and it does not claim that lexical presence alone proves full conceptual sufficiency.

PYQ DEMAND CARD 1 - 2020 GS-III

Demand: Define potential GDP, explain its determinants and examine India's output gap.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on “PYQ DEMAND CARD 1 - 2020 GS-III”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Define potential GDP, explain its determinants and examine India's output gap. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Potential GDP and output gap: Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **ICOR and investment efficiency:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Estimate-vintage discipline:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “PYQ DEMAND CARD 1 - 2020 GS-III”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

PYQ DEMAND CARD 2 - 2021 GS-III

Demand: Explain changes in India's GDP computation methodology before and after the 2015 revision.

Status: Verified routed Mains demand; original model solution, not an official answer.

Model solution: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Demand decoding: The directive **answer** requires a direct position on "PYQ DEMAND CARD 2 - 2021 GS-III", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Analytical body:

1. **Claim and named evidence:** Demand: Explain changes in India's GDP computation methodology before and after the 2015 revision. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Status: Verified routed Mains demand; original model solution, not an official answer. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Three measurement methods: Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Income-side coverage:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **2015 national-accounts revision:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **2026 series revision:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete

comparable back series was still pending at its 19 July 2026 cutoff. The answer therefore separates definition, mechanism, evidence and limitation, and does not infer an official model answer or objective key.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For "PYQ DEMAND CARD 2 - 2021 GS-III", replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 1 - 10 MARKS

Question: Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about 150 words.

Model thesis: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named evidence/example:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP.
- GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.
- Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation.

Qualified conclusion: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named**

evidence/example: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on “Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named evidence/example:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income from abroad determines whether GNP is above or below GDP. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Territory-residence boundary. **Named evidence/example:** GDP follows production within domestic territory, whereas GNP follows income accruing to normal residents; the sign of net factor income

from abroad determines whether GNP is above or below GDP. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** GDP-GVA reconciliation. **Named**

evidence/example: GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Gross-net distinction. **Named**
evidence/example: Gross measures include consumption of fixed capital, while NDP equals GDP minus depreciation and NNP equals GNP minus depreciation. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Distinguish GDP, GVA, GNP and NDP and explain why the distinctions matter. Answer in about...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 2 - 10 MARKS

Question: Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.

Model thesis: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise

beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **answer** requires a direct position on “Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** GDP-GVA reconciliation. **Named evidence/example:** GDP at market prices equals GVA at basic prices plus product taxes minus product subsidies, so changing net product taxes can make GDP and GVA growth diverge. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 10 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Why can GDP and GVA growth tell different stories in the same year? Answer in about 150 words.”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 3 - 15 MARKS

Question: Explain how the three methods of national-income measurement converge and where Indian data risks arise. Answer in about 250 words.

Model thesis: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named**

evidence/example: The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic

mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named**

evidence/example: The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.

Analysis: This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk.
- The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output.
- The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts.
- The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers.

Qualified conclusion: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket,

instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **explain** requires a direct position on "Explain how the three methods of national-income measurement converge and where Indian data...", every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

2. **Claim and named evidence:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Three measurement methods. **Named evidence/example:** Production or value-added, income and expenditure methods should theoretically converge because produced output creates income and is purchased as final expenditure; each method has a different data risk. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Double-counting boundary. **Named evidence/example:** The production method sums value added at each stage rather than gross sales, preventing the value of intermediate inputs from being counted again inside final output. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Income-side coverage. **Named evidence/example:** The income method adds wages, profits, rent and mixed income, but India's large informal sector requires survey, administrative and benchmark-indicator estimation rather than complete enterprise accounts. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Expenditure-side boundary. **Named evidence/example:** The expenditure method counts private and government final consumption, capital formation and net exports while excluding intermediate purchases and pure financial transfers. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Explain how the three methods of national-income measurement converge and where Indian data...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 4 - 15 MARKS

Question: A base-year revision improves relevance but complicates historical comparison. Examine. Answer in about 250 words.

Model thesis: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability.

Qualification: The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:**

Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series.
- MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **examine** requires a direct position on “A base-year revision improves relevance but complicates historical comparison. Examine...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: **Claim:** 2015 national-accounts revision. **Named evidence/example:** India's 2015 revision shifted the national-accounts base to 2011-12 and expanded use of corporate administrative data, improving relevance while creating a comparability need for a reliable back series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument

eligibility or legal perimeter rather than generalise beyond the source. **Claim:** 2026 series revision. **Named evidence/example:** MoSPI released the 2022-23-base GDP series on 27 February 2026 with revised coverage, sources and methods; the owner records that a complete comparable back series was still pending at its 19 July 2026 cutoff. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 15 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “A base-year revision improves relevance but complicates historical comparison. Examine....”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 5 - 20 MARKS

Question: Critically assess GDP as a measure of India's economic performance and welfare. Answer in about 300 words.

Model thesis: **Claim:** Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant

institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100.
- Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare.
- Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed.
- Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **critically assess** requires a direct position on “Critically assess GDP as a measure of India's economic performance and welfare. Answer in...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting

boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
4. **Claim and named evidence:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
5. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series

estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: Nominal-real-deflator triangle. **Named evidence/example:** Nominal GDP uses current prices, real GDP uses constant or base-year prices, and the GDP deflator equals nominal GDP divided by real GDP multiplied by 100. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Unpaid work and welfare limit. **Named evidence/example:** Conventional GDP excludes much unpaid household work and does not directly measure distribution, ecological depletion, service quality or every dimension of welfare. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Potential GDP and output gap. **Named evidence/example:** Potential GDP is sustainable capacity implied by labour, capital and productivity, while the output gap compares actual output with that estimated capacity; potential output is not directly observed. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** PPP versus market exchange rate. **Named evidence/example:** Purchasing Power Parity uses a common price basket for real purchasing-power comparison, whereas market-exchange-rate GDP is suited to external trade, debt and market-size comparison; ranks are reference-year specific. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Critically assess GDP as a measure of India's economic performance and welfare. Answer in...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.

ORIGINAL MAINS 6 - 20 MARKS

Question: Analyse the saving-investment-growth chain with ICOR, intangible capital and measurement limitations. Answer in about 300 words.

Model thesis: Claim: ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Claim -> named evidence -> analysis -> qualification:

- The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth.
- Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption.
- Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods.
- A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series.

Qualified conclusion: Claim: ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than

generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Demand decoding: The directive **analyse** requires a direct position on “Analyse the saving-investment-growth chain with ICOR, intangible capital and measurement...”, every clause, exact formula/category, institution and policy status, a monetary-fiscal-real-external transmission chain with lags, named Indian evidence, distribution/federal effects, trade-offs and a qualified conclusion.

Detailed examiner-grade model answer:

Introduction and thesis: **Claim:** ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Analytical body:

1. **Claim and named evidence:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
2. **Claim and named evidence:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.
3. **Claim and named evidence:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and

federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

4. **Claim and named evidence:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** Connect the identity/category and named Indian evidence -> instrument, price, quantity, balance-sheet or incentive channel -> implementation and lag -> growth, employment, distribution, stability, sustainability and federal effect. **Qualification:** State unit/denominator, stock/flow, nominal/real, authority and programme status, source-date-reference period, causal limit, counterfactual, trade-off or residual risk.

Counter-position / limit: An accounting identity, index movement, allocation, rate change, notification, platform count, WTO notification or chronological association cannot alone establish transmission, utilisation, distributional benefit or attributable outcome; test mechanism, lag, counterfactual, data vintage, implementation and external/federal constraints.

Qualified conclusion: Claim: ICOR and investment efficiency. **Named evidence/example:** The Incremental Capital-Output Ratio links additional capital to additional output; a higher ICOR signals weaker aggregate investment efficiency, so high saving or investment need not produce high growth. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Intangible capital formation. **Named evidence/example:** Research and development, software and databases, mineral exploration and artistic originals can be gross fixed capital formation, while advertising, routine training and much brand creation remain intermediate consumption. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Sector and capital classification. **Named evidence/example:** Primary, secondary and tertiary activity classification concerns the nature of production, while working capital is used up in production and fixed capital provides services over multiple periods. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source. **Claim:** Estimate-vintage discipline. **Named evidence/example:** A national-accounts number must retain its period, series base and estimate vintage such as First Advance Estimate, later advance estimate or revised estimate; a projection or old-series estimate is not an actual on a new series. **Analysis:** This identifies the economic mechanism, the relevant institution or accounting boundary, and the effect on output, prices, distribution or financial stability. **Qualification:** The conclusion must retain the stated period, estimate vintage, base year, basket, instrument eligibility or legal perimeter rather than generalise beyond the source.

Executable exam-length answer / compression plan: For 20 marks, spend one-sixth of the time decoding the directive and drawing definition/identity -> instrument or shock -> transmission -> growth, distribution, stability, sustainability and federal effects; state a thesis; write four to seven claim -> named evidence -> analysis -> qualification points; reserve the final minute for unit, denominator, data vintage, legal/programme status, lag, causation and residual-risk checks.

Why this earns marks: The answer obeys the directive, explains mechanisms rather than listing schemes, uses India-centric evidence and preserves formula, stock-flow, institutional, status, data-vintage, distributional and causal distinctions.

How to improve this answer: For “Analyse the saving-investment-growth chain with ICOR, intangible capital and measurement...”, replace the weakest catalogue point with one exact formula or classification, named institution/instrument, balance-sheet or incentive channel, lag, measurable outcome, distribution/federal effect and qualification.